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Case Number: 25STCV31396 Hearing Date: July 8, 2026 Dept: 729

Superior Court of California

County of Los Angeles

DEPARTMENT 729

TENTATIVE RULING

ERIC W. PEARSON, AS AN INDIVIDUAL AND AS TRUSTEE OF THE ERIC W. PEARSON REVOCABLE LIVING, et al.,

vs.

JENNIFER J. MACLELLAN, AS AN INDIVIDUAL AND AS TRUSTEE OF THE JENNIFER J. MACLELLAN SEPARATE, et al.

Case No.: 25STCV31396

Hearing Date: July 8, 2026

Defendant Jennifer J. MacLellan's, individually and as Trustee of the Jennifer J. MacLellan Separate Property Trust, unopposed motion to compel arbitration of Plaintiffs Eric W. Pearson's, individually and as Trustee of the Eric W. Pearson Revocable Living Trust, and Ashley Platz's claims in this action is granted. This case is stayed pending arbitration.

The Court notes that Non-moving Defendants are not compelled to arbitration.

The Court sets a non-appearance case review for July 8, 2027, at 8:30 a.m. The parties are directed to submit a joint statement five calendar days in advance, apprising the Court of the status of the arbitration.

Defendant Jennifer J. MacLellan's, individually and as Trustee of the Jennifer J. MacLellan Separate Property Trust ("MacLellan") ("Moving Defendant") moves unopposed for an order compelling arbitration of all claims asserted by Plaintiffs Eric W. Pearson, individually and as Trustee of the Eric W. Pearson Revocable Living Trust ("Pearson"), and Ashley Platz

("Platz") (collectively, "Plaintiffs") and staying the instant action during the pendency of arbitration. (Notice of Motion, pgs. 2-3; 9 U.S.C. §§3-4; C.C.P. §§1281.2, 1281.4.)

Background

On October 27, 2025, Plaintiffs filed the instant action against Moving Defendant and Non-moving Defendants Krause Realty ("Realty") and Joshua Krause ("Krause") (collectively, "Defendants"), asserting six causes of action: (1) breach of contract; (2) negligence; (3) fraud; (4) failure to make statutory disclosures pursuant to Civ. Code §§2079 et seq.; (5) failure to make statutory disclosures pursuant to Civ. Code §§1102 et seq; and (6) unfair business practices pursuant to Bus. & Prof. Code §§17200 et seq. (See Complaint.)

Moving Defendant filed the instant motion on March 2, 2026. Plaintiffs filed their opposition on April 29, 2026. On May 5, 2026, Moving Defendant filed their reply.

On May 12, 2026, the Court posted a tentative ruling and heard argument on the instant motion. This Court continued the hearing on the instant motion to July 8, 2026, to allow for further briefing on whether the arbitration agreement is governed by the FAA. (See 5/12/26 Minute Order.)

On June 22, 2026, Plaintiff filed a notice of non-opposition, indicating that they withdrew their opposition and do not oppose this Court ordering the case to arbitration as previously indicated in this Court's tentative ruling. (See Notice of Non-Opposition, pg. 2.)

Based on Plaintiff's consent to arbitration, the Court grants Moving Defendants' motion and also compels for the reasons below that were stated in the Court's earlier tentative ruling:

Motion to Compel Arbitration

A. Arbitration Agreement

1. The Arbitration Agreement is enforceable.

Federal law provides for enforcement of this Arbitration Agreement. The Federal Arbitration Act, 9 U.S.C. §1, et seq. ("FAA"), establishes a strong federal policy in favor of arbitration of disputes where a written arbitration agreement exists. Section 2 of the FAA provides, in pertinent part that "[a] written provision . . . to settle by arbitration a controversy thereafter arising out of such contract . . . shall be valid, irrevocable, and enforceable." (9 U.S.C. §2.) The purpose of the FAA is to "reverse the longstanding judicial hostility to arbitration agreements." (*Gilmer v. Interstate/Johnson Lane Corp.* (1991) 500 U.S. 20, 24.) The FAA places arbitration agreements "on an equal footing with other contracts and [requires courts] to enforce them according to their terms." (*AT&T Mobility, LLC v. Concepcion* (2011) 563 U.S. 333, 339; see also *Rent-A-Center West, Inc. v. Jackson* (2010) 561 U.S. 63, 67 ["The FAA reflects the fundamental principle that arbitration is a matter of contract."].) The FAA will preempt not only a state law that "discriminat[es] on its face against arbitration," but also a state law that "covertly accomplishes the same objective by disfavoring contracts that (oh so coincidentally) have the defining features of arbitration agreements." (*Kindred Nursing Centers Limited Partnership v. Clark* (2017) 137 S.Ct. 1421, 1426.)

The FAA restricts a court's inquiry related to compelling arbitration to two threshold questions: (1) whether there was an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute. (*Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84.) Here, both criteria are satisfied. First, Plaintiffs agreed to arbitration when they entered into The California Residential Purchase Agreement and Joint Escrow Instructions ("RPA") on May 16, 2022, which contained the relevant arbitration clause ("Arbitration Agreement"). (Decl. of Waggoner ¶2, Exh. 1 §31(A).) Second, the Arbitration Agreement expressly covers "that any dispute or claim in Law or equity arising between them out of this

Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration.” (Decl. of Waggoner ¶2, Exh. 1 at §31(A).)

That the mediation pre-condition has also been met:

MEDIATION:

A. The Parties agree to mediate any dispute or claim arising between them out of this Agreement, or any resulting transaction, before resorting to arbitration or court action. The mediation shall be conducted through the C.A.R. Real Estate Mediation Center for Consumers (www.consumermediation.org) or through any other mediation provider or service mutually agreed to mediation prior to, or within a reasonable time after, the dispute or claim is presented to the Agent. Mediation fees, if any, shall be divided equally among the Parties involved, and shall be recoverable under the prevailing party attorney fees clause.

(Decl. of Waggoner ¶2, Exh. 1 at §30(A), emphasis added.) Moving Defendant’s counsel’s declaration states, “The parties participated in mediation on October 7, 2025. The mediation did not result in a settlement.” (Decl. of Waggoner ¶4.)

California law also favors arbitration for dispute resolution. The California Arbitration Act (“CAA”), codified at C.C.P. §1281 et seq., provides, “A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (C.C.P. §1281; see also *Grafton Partners L.P. v. Superior Court* (2005) 36 Cal.4th 944, 955 [“[U]nlike predispute jury waivers, predispute arbitration agreements are specifically authorized by statute.”].)

“California law, like federal law, favors enforcement of valid arbitration agreements.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97, 99.) The public policy in favor of arbitration is so strong that California courts have held that an employee is “bound by the provisions of the [arbitration] agreement regardless of whether [he] read it or [was] aware of the arbitration clause when [he] signed the document.” (*Brookwood v. Bank of America* (1996) 45 Cal.App.4th 1667, citing *Macaulay v. Norlander* (1992) 12 Cal.App.4th 1.) The only prerequisite for a court to order arbitration is a determination that the parties have entered into an agreement to arbitrate the dispute. (*United Transportation Union v. Southern California Rapid Transit District* (1992) 7 Cal.App.4th 804, 808.) Thus, arbitration must be ordered “unless the agreement clearly does not apply to the dispute in question.” (*Vianna v. Doctors’ Management Co.* (1994) 27 Cal.App.4th 1186, 1189.)

Plaintiffs agreed to arbitration when they entered into the RPA. (Decl. of Waggoner ¶2, Exh. 1 §31(A).) The Arbitration Agreement expressly covers “that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration.” (Decl. of Waggoner ¶2, Exh. 1 at §31(A).)

Plaintiff argues that other necessary and indispensable parties are part of the overall fact situation giving rise to this lawsuit and that those parties refuse to be part of any arbitration process. (Opposition, pgs. 3-4.) Plaintiff’s argument is unavailing. The RPA mandates that “any motion to compel arbitration pursuant to, this agreement to arbitrate shall be governed by the procedural rules of the Federal Arbitration Act, and not the California Arbitration Act.” (See Decl. of Waggoner ¶2, Exh. 1, § 31(A).) Plaintiffs rely on C.C.P. §1281.2(c), arguing it “provides that a court shall order arbitration unless it determines, among other things, that ‘[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.’” (Opposition, pg. 4.) But C.C.P. §1281.2(c) does not override the FAA where the underlying arbitration agreement involves interstate commerce. The FAA preempts state laws that grant courts discretion to deny arbitration on grounds inconsistent with the federal mandate. If Non-moving Defendants remain in court, the claims between Plaintiffs and Moving Defendant must be compelled to arbitration.

The FAA interprets “involving commerce” broadly, covering all of Congress’ Commerce Clause power. (Allied-Bruce Terminix Companies, Inc. v. Dobson (1995) 513 U.S. 265, 277 [concluding “involving commerce” “signals an intent to exercise Congress’ commerce power to the full”].) Residential real estate transactions, involving an escrow holder, title insurer, lender, and wire transfers usually involve national financial institutions and out-of-state banks, and courts routinely enforce FAA governance clauses in such circumstances. (Hedges v. Carrigan (2004) 117 Cal.App.4th 578, 586 [holding home purchasers’ use of federal loan and national organization’s transaction documents “evidenced a transaction ‘involving commerce’”].)

Further, Code of Civil Procedure § 1281.2(c) is inapposite because of the RPA’s clear displacement of the CAA in favor of the FAA. Simply, Plaintiffs and Moving Defendant agreed that the FAA would govern disputes arising out of the RPA. (See Decl. of Waggoner ¶2, Exh. 1 §31(A).) Plaintiffs admit that they initialed the RPA’s arbitration provision. (Opposition, pg. 4.) Plaintiffs do not contend the RPA is not a valid contract based on arguments that it is void, rescinded, unconscionable, or otherwise unenforceable under Civil Code §1550 or any other contract defense.

Based on the foregoing, Moving Defendant proved the existence of a valid Arbitration Agreement that is enforceable by Moving Defendant.

2. Covered Claims

The Arbitration Agreement states that “any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration.” (Decl. of Waggoner ¶2, Exh. 1 at §31(A) [emphasis added].)

(Decl. of Casillas ¶8, Exh. A at pg. 1 of 5, §2.) All claims arise out of Plaintiffs’ agreement to purchase the Property and the parties’ performance of that agreement. There is no claim independent of the transaction created by the RPA. Accordingly, the arbitration provision squarely encompasses the dispute. Based on the foregoing, Defendant met its burden of establishing the Arbitration Agreement covers the causes of action asserted in Plaintiffs’ Complaint.

B. Unconscionability

“[P]rocedural and substantive unconscionability must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (Armendariz, 24 Cal.4th at pg. 102.) Courts invoke a sliding scale which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves, i.e., the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa. (Id., at pg. 114.) Plaintiff bears the burden of proving that the provision at issue is both procedurally and substantively unconscionable. Plaintiff does not raise an argument related to unconscionability and thereby concedes that the Arbitration Agreement is not unconscionable.

C. Stay of Current Action

The FAA mandates a stay. Where an action involves “any issue referable to arbitration under an agreement in writing,” the court “shall on application of one of the parties stay the trial of the action until such arbitration has been had.” (9 U.S.C. §3.) The statutory directive is not discretionary as to claims subject to arbitration. Plaintiffs’ claims against all Defendants arise from the same real estate transaction and are based on the same alleged representations and disclosures. Because the arbitration will address the core factual and legal issues underlying the action, a stay of the entire matter pending completion of arbitration would serve judicial efficiency and avoid inconsistent results.

Accordingly, this case is stayed pending arbitration.

D. Conclusion

Moving Defendant's motion to compel arbitration is granted.

The Court notes that Non-moving Defendants are not compelled to arbitration.

The case is stayed pending arbitration. The Court sets a non-appearance case review for July 8, 2027, at 8:30 a.m. The parties are directed to submit a joint statement five calendar days in advance, apprising the Court of the status of the arbitration.

Moving Party to give notice.

Dated: July _____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court